

25 February 2026

ASX Announcement

REVISED TRADING POLICY

DroneShield Limited (ASX:DRO) (DroneShield or the Company) revised its Trading Policy with effect from 25 February 2026. In accordance with ASX Listing Rule 12.10, a copy of the revised Trading Policy is provided as an attachment to this announcement.

The revised Trading Policy will also be available under 'Corporate Documents' on the Company's website: www.droneshield.com/investor-relations

This announcement has been approved for release to the ASX by the Board.

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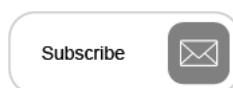
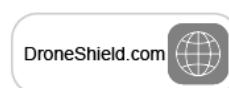
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About DroneShield Limited

DroneShield (ASX:DRO) provides Artificial Intelligence based platforms for protection against advanced threats such as drones and autonomous systems. We offer solutions designed to suit a variety of terrestrial, maritime or airborne platforms. Our customers include military, intelligence community, Government, law enforcement, critical infrastructure, and airports.

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DRONESHIELD

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Trading Policy

DroneShield Limited

ACN 608 915 859

Adopted by the Board on 25 February 2026

1. What is this Policy about?

The purpose of this Policy is to:

- ensure that public confidence is maintained in the reputation of the Company and its related bodies corporate (**Group**), directors and employees of the Group and in the trading of the Company's securities;
- outline the policy and procedures that apply to directors and employees when dealing in the Company's securities; and
- recognise that some types of dealing in securities are prohibited by law.

The Company will take a substance over form approach and will have regard to the intent and spirit of this Policy when applying and enforcing it.

2. Who must comply with this Policy?

This Policy applies to all Directors of the Company, Group employees and contractors who are engaged by the Group (collectively, **Employees**).

Certain parts of this Policy apply only to **Restricted Persons** who, for the purposes of this Policy, are:

- directors of the Company;
- other key management personnel of the Group (including the CEO & Managing Director (**CEO**) and any other direct reports to the CEO) (**Senior Executives**); and
- other persons who regularly possess inside information and who have been advised by the General Counsel & Joint Company Secretary (or their delegate) that they are subject to special restrictions under this Policy (**Nominated Employees**).

Restricted Persons must also take steps in relation to dealings by their **Connected Persons**. See section 5.7 for further information in relation to Connected Persons.

3. Inside information and insider trading

Attachment 1 to this Policy sets out information about the insider trading laws, including:

- What is inside information?
- What are the rules about insider trading?
- What are examples of inside information?

4. Restrictions applying to all Employees

4.1. No dealing while in possession of inside information

Employees must not deal in the Company's securities if:

- they are aware of inside information in relation to the Company; or
- the Company has notified Employees that they must not deal in securities (either for a specified period, or until the Company gives further notice).

4.2. The Front Page Test

It is important that public confidence in the Group is maintained. It would be damaging to the Group's reputation if the market or the general public perceived that Employees might be taking advantage of their position in the Group to make financial gains (by dealing in securities on the basis of inside information).

As a guiding principle, Employees should ask themselves:

*If the market was aware of all the current circumstances, could I be perceived to be taking advantage of my position in an inappropriate way? How would it look if the transaction were reported on the front page of the newspaper? (The **Front Page Test**)*

If the Employee is unsure, he or she should consult the General Counsel & Joint Company Secretary (or their delegate).

Where any approval is required for a dealing under this Policy, approval will not be granted where the dealing would not satisfy the Front Page Test.

4.3. Hedging of Company securities

Hedging includes entering into any arrangements that operate to limit the economic risk associated with holding the Company's securities.

Company securities acquired under an employee, executive or director equity plan operated by the Company must never be hedged prior to vesting.

Company securities must never be hedged while they are subject to a holding lock or restriction on dealing under the terms of an employee, executive or director equity plan operated by the Company.

4.4. Dealing in other companies' securities

Employees may come into possession of inside information regarding another company where they are directly involved in client relationship management or negotiating contracts. For example, an employee may become aware that the Group is about to sign a major agreement with another company.

Employees must not deal in the securities in another company if they are aware of inside information in relation to that company, no matter how they came into possession of the inside information.

4.5. Margin lending arrangements

All Employees are prohibited from:

- (a) entering into a margin lending arrangement in respect of the Company's securities; and
- (b) transferring securities in the Company into an existing margin loan.

4.6. No short-term or speculative dealing

All Employees must not deal in the Company's securities on a short-term trading basis. Short-term trading includes buying and selling securities on market within a 3 month period, and entering into other short term dealings (for example, forward contracts).

Selling shares received on vesting of entitlements under an employee, executive or director equity plan within 3 months of the vesting date is not a short-term dealing.

All Employees must not deal in the Company's securities on a speculative basis, including short-selling. Short selling involves borrowing and selling securities in the hope that they can be bought back at a lower price in the future to close out the short position at a profit.

5. Additional restrictions applying to Restricted Persons

5.1. No dealing in blackout periods

Restricted Persons must not deal in Company securities during the following blackout periods:

- the period from the close of trading on the ASX on 31 December each year, or if that date is not a trading day, the last trading day before that day, until the day following the announcement to ASX of the full-year results (for example, if the results are released on Tuesday, you can deal on Wednesday subject to seeking approval in line with section 5.4 below);
- the period from the close of trading on the ASX on 30 June each year, or if that date is not a trading day, the last trading day before that day, until the day following the announcement to ASX of the half-year results;
- the period from the close of trading on each of 31 March and 30 September, or if those dates are not trading days, the last trading day before the relevant day, until the day following the announcement to ASX of the applicable Company quarterly report; and
- any other period that the Board specifies from time to time.

5.2. Exceptional circumstances

If a Restricted Person needs to deal in securities during a blackout period due to exceptional circumstances and is **not** in possession of any inside information, then, they may apply for approval to deal. Exceptional circumstances are likely to include severe financial hardship or compulsion by court order.

Approval to deal will only be granted if the Restricted Person's application is accompanied by sufficient evidence (in the opinion of the person providing clearance) that the dealing is the most reasonable course of action available in the circumstances.

Unless otherwise specified in the notice, any dealing permitted under this section 5.2 must comply with the other sections of this Policy (to the extent applicable).

5.3. Approval required for dealing outside blackout periods

- (a) During any period that is not a trading blackout period under section 5.1, Restricted Persons must, prior to any proposed dealing, seek approval for the proposed dealing in the Company's securities.
- (b) There are certain times during the year when approval under this Policy is more likely to be granted. These are the 4 week periods immediately following:
 - (1) the day after release of the Company's full-year results;
 - (2) the day after release of the Company's half-year results; and
 - (3) the day after release of the Company's Q1 and Q3 quarterly reports.

Restricted Persons who wish to seek approval to trade under this Policy are encouraged to do so during these periods. Trading at any time (even if approval has been obtained under this Policy) remains subject to the insider trading prohibition in the *Corporations Act 2001* (Cth) (**Corporations Act**).

5.4. Written request process

- (a) Requests for approval under 5.2 or 5.3 should be submitted to the General Counsel & Joint Company Secretary (or their delegate), who will forward it to the following individual/body for approval:
 - (1) the Board (in the case of the CEO or Chairman of the Board);
 - (2) the Chairman and one other independent director (in the case of directors other than the CEO or Chairman);
 - (3) the Chief Commercial Officer (in the case of the Sales Team);
 - (4) the CEO (in the case of the Chief Commercial Officer); and
 - (5) the General Counsel & Joint Company Secretary (in the case of any other Restricted Person).

The relevant approver will take into account any input provided by the General Counsel & Joint Company Secretary or other members of management when making their decision whether to approve a request to deal.

- (b) A request for approval to deal will be answered as soon as practicable. The approver, having consulted with members of management as appropriate, may:
 - (1) grant or refuse the request;
 - (2) impose conditions on the dealing in their discretion.
- (c) The approver is not obliged to provide reasons for any aspect of their decision, and may revoke their approval at any time. If a request is not approved or an approval is revoked, that fact must be kept confidential.
- (d) Following receipt of approval to deal, the approved dealing must occur within 5 business days following approval (or such other time specified in the approval), otherwise the approval is no longer effective and fresh approval must be sought.
- (e) Approval under this Policy is not an endorsement of the dealing. Personnel are responsible for their own compliance with the law.

5.5. Directors – confirmation of trade required

Following any trade, Directors must promptly notify the Joint Company Secretaries (or their delegates) by close of business on the date the trade is entered. Where trading occurs over multiple days, a notification under this section 5.7 will be required in respect of the trading undertaken each day. This is to assist the Company to comply with its disclosure obligations under the ASX Listing Rules.

5.6. Directors' sales of securities

Directors need to be mindful of the market perception associated with any sale of Company securities and the ability of the market to absorb the volume of shares being sold. With this in mind, the sale of a significant volume of Company securities (i.e. a volume that represents in excess of 10% of the total shares held by the seller prior to the sale, or a volume to be sold that would be in excess of 10% of the average daily traded volume of the shares of the Company on the ASX for the preceding 20 trading days) by a Director needs to be approved by the Board prior to any sale. The Board will consider recording the basis on which this approval has been granted.

5.7. Connected Persons

Restricted Persons must take appropriate steps to ensure that their "Connected Persons" only deal in securities in circumstances where the Restricted Person to whom they are connected would be permitted to deal under this Policy. For example, by obtaining clearance in accordance with this Policy in respect of the Connected Persons' dealings.

Connected Persons are:

- a family member who may be expected to influence, or be influenced by, the Restricted Person in his or her dealings with the Company or Company securities (this may include the Restricted Person's spouse, partner and children, the children of the Restricted Person's partner, or dependants of the Restricted Person or the Restricted Person's partner); and
- a company or any other entity which the Restricted Person has an ability to control.

6. Excluded Dealings

Sections 5.1, 5.3 and 4.6 of this Policy do not apply to:

- (a) participation in an employee, executive or director equity plan operated by the Company. However, where securities in the Company granted under an employee, executive or director equity plan cease to be held under the terms of that plan, any dealings in those securities must only occur in accordance with this Policy;
- (b) the following categories of trades:
 - acquisition of Company securities through a dividend reinvestment plan;
 - acquisition of Company securities through a share purchase plan available to all retail shareholders;
 - acquisition of Company securities through a rights issue; and
 - the disposal of Company securities through the acceptance of a takeover offer, scheme of arrangement or equal access buy-back;
- (c) dealings that result in no effective change to the beneficial interest in the securities (for example, transfers of Company securities already held into a superannuation fund or trust of which the Employee is a beneficiary);
- (d) trading under a pre-approved non-discretionary trading plan, where the Employee did not enter into the plan or amend the plan during a blackout period, the plan does not permit the Employee to exercise any influence or discretion in relation to trading under the plan and the plan cannot be cancelled during a blackout period, other than in exceptional circumstances; and
- (e) a disposal of securities of the Company that is the result of a secured lender exercising their rights, for example, under a margin lending arrangement.

However, given such dealings **remain subject to the insider trading rules** in the Corporations Act, Employees should still consider any legal or reputational issues (and discuss any concerns they have with the General Counsel & Joint Company Secretary (or their delegate)) before proceeding with the dealing.

7. What happens if this Policy is breached?

Breaches of this Policy will be regarded by the Company as serious and will be subject to appropriate sanctions. Any person who is suspected of breaching this Policy may be suspended from attending the workplace on full pay pending the outcome of investigations into the alleged breach. Any person who breaches this Policy could face disciplinary action (including forfeiture of securities and/or suspension or termination of employment).

Breaches of the insider trading laws have serious consequences for both the personnel concerned and the Company. Penalties under the Corporations Act include financial penalties and imprisonment.

8. Who should I contact?

Employees should contact the General Counsel & Joint Company Secretary (or their delegate) if they are unsure about whether it is acceptable to deal or if they have any other queries about this Policy.

Attachment 1

1. Inside information and insider trading

1.1 What is inside information?

Inside information is information that:

- is not generally available to the market; and
- if it were generally available to the market, a reasonable person would expect it to have a material effect (upwards or downwards) on the price or value of a security.

Information is 'generally available to the market' if:

- it consists of a readily observable matter;
- it has been made known in a manner that would, or would be likely to, bring it to the attention of people who commonly invest in the relevant securities (for example, released as an ASX announcement) and a reasonable period of time has passed since the information was made known; or
- it consists of deductions, conclusions or inferences made or drawn from either or both of the kinds of generally available information described above.

Inside information may include matters of supposition, matters that are not yet certain and matters relating to a person's intentions.

1.2 What are the rules about insider trading?

Broadly speaking, the Corporations Act provides that a person who has inside information about a company must not:

- (a) buy or sell securities in a company, or enter in an agreement to buy or sell securities, or exercise options over securities, or otherwise apply for, acquire or dispose of securities (**deal**);
- (b) encourage someone else to deal in securities in that company; or
- (c) directly or indirectly provide that information to another person where they know, or ought to know, that that person is likely to deal in securities or encourage someone else to deal in securities of that company (**tipping**).

These restrictions apply to all securities, not just the Company's securities.

1.3 What are examples of inside information?

The following are examples of information which may be considered inside information:

- the Company is considering a major acquisition or divestment;
- the threat of major litigation against the Company and/or any of its subsidiaries;
- the Company's revenue and profit or loss results materially exceeding or falling short of the market's expectations;
- a material change in debt, liquidity or cash flow;
- a significant new development proposal (e.g. new product or technology);
- the grant or loss of a major contract;
- a management or business restructuring proposal; or
- a share issue proposal.